

AIA Group Limited

Recommendation **BUY** ★★★★★

Price **HKD 68.70** [as of market close Oct 27, 2023] **12-Mo. Target Price** **HKD 88.00** **Report Currency** **USD** **Investment Style** **Large-Cap Growth**

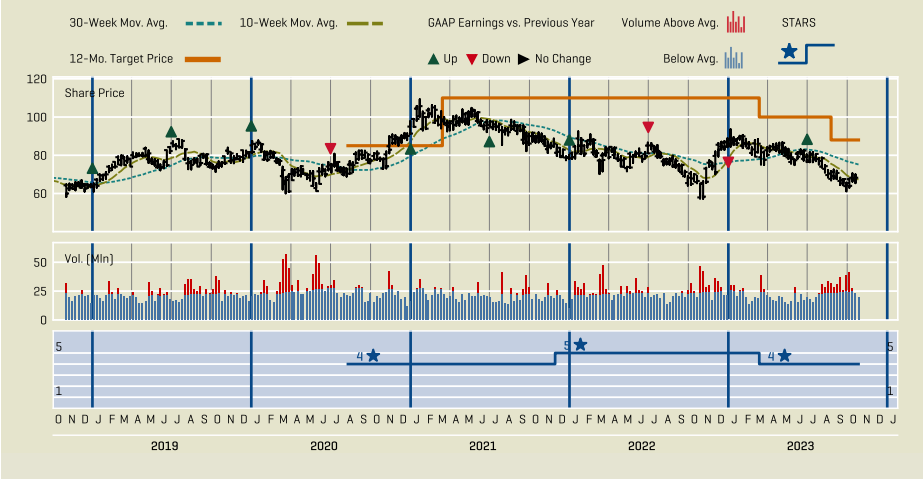
Equity Analyst **Siti Salikin**

GICS Sector Financials
Sub-Industry Life and Health Insurance

Summary AIA Group is the largest independent publicly listed pan-Asian life insurance group. It provides insurance products and services, focusing on the Asia-Pacific.

Key Stock Statistics [Source: CFRA, S&P Global Market Intelligence (SPGMI), Company Reports]							
52-Wk Range	HKD 93.65 - 57.25	Oper.EPS2023E	USD 0.44	Market Capitalization[B]	HKD 783.64	Beta	0.60
Trailing 12-Month EPS	USD 0.08	Oper.EPS2024E	USD 0.54	Yield [%]	2.27	3-yr Proj. EPS CAGR[%]	-4
Trailing 12-Month P/E	104.12	P/E on Oper.EPS2023E	19.96	Dividend Rate/Share	HKD 1.56	SPGMI's Quality Ranking	B-
HKD 10K Invested 5 Yrs Ago	12,639.0	Common Shares Outstg.[M]	11,513.00	Trailing 12-Month Dividend	HKD 1.56	Institutional Ownership [%]	54.0

Price Performance



Source: CFRA, S&P Global Market Intelligence
Past performance is not an indication of future performance and should not be relied upon as such.
Analysis prepared by **Siti Salikin** on Aug 28, 2023 05:57 AM ET, when the stock traded at **HKD 67.85**.

Highlights

- ▶ AIA's new business sales and value of new business (VONB) have regained momentum since H2 2022, as face-to-face meetings [AIA's primary source of new business sales] picked up following the lifting of movement restrictions. H1 2023 saw AIA Hong Kong's VONB surging 2.1x Y/Y, while that for AIA China, combined ASEAN business and India operations recording double-digit growth. While VONB for AIA Hong Kong was still below the pre-pandemic levels, we expect further improvement in H2 2023 and 2024 as it taps the strong demand from Mainland Chinese visitors [which accounted for over half of AIA's Hong Kong's VONB in H1 2023]. AIA is also leveraging its digital capabilities to drive sales and strengthen its competitive advantage. In China, AIA is capitalizing on the opening up of the insurance sector to further expand its business there.
- ▶ We think business recovery in China, rising contributions from ASEAN businesses, and improved product mix will help to stabilize VONB margin in H2 2023 [2022: -2.4%pt; H1 2023: -4.4%pt Y/Y] and support an improvement in 2024.
- ▶ We project EPS of USD0.437 for 2023 (which factors in fair value gains on investments vs. loss in 2022) and USD0.542 for 2024.

Investment Rationale/Risk

- ▶ Our call is 4-STARs [Buy]. While Hong Kong is AIA's core market, China and ASEAN markets, where VONB margins are higher, will be the growth drivers. The opening up of the insurance sector in China will increase competition among global insurers. However, as the first foreign life insurer incorporated in China, AIA has set up a strong base in five of China's large and more affluent cities. Its investments in China Post Life Insurance and bancassurance partnership with The Bank of East Asia will also help to drive growth, in our view. The scale of its distribution platforms and agency network will also enable AIA to capture growth opportunities in the Asia-Pacific markets. In India, AIA is also making strong progress in scaling its high-quality premier agency model.
- ▶ Downside risks include slower economic recovery, which could negatively impact business sales/VONB growth, keep interest rates in China low, and weaken equity market/ investment returns.
- ▶ Our target price of HKD88 is 25.7x 2023 EPS estimate [5-year mean: 18.7x], reflecting a recovery in AIA's underlying insurance business, which will drive stronger projected ROE of 10%-11% [5-year: 9.3%] and its progressive dividend policy.

Analyst's Risk Assessment

LOW	MEDIUM	HIGH
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Our risk assessment reflects AIA's diverse geographic footprint, dominant position across the majority of its markets in the Asia-Pacific region, track record of delivering growth across key financial metrics, and financial strength amid economic uncertainties and the low interest rate environment.

Revenue/Earnings Data

Revenue (Million USD)	1H	2H	Year
2024	--	--	E 21,493
2023	15,559	--	E 19,459
2022	-20,201	16,918	19,721
2021	24,194	22,722	46,357
2020	19,577	31,274	50,851
2019	24,433	23,512	47,945

Earnings Per Share (USD)

	1H	2H	Year
2024	--	--	E 0.54
2023	0.19	--	E 0.44
2022	0.13	0.07	0.02
2021	0.27	0.35	0.61
2020	0.18	0.30	0.48
2019	0.28	0.22	0.50

Fiscal Year ended Dec 31. EPS Estimates based on CFRA's Operating Earnings; historical earnings are adjusted. In periods where a different currency has been reported, this has been adjusted to match the current quoted currency.

Dividend Data

Amount [HKD]	Date Decl.	Ex-Div. Date	Stk. of Record	Payment Date
0.4229	Aug 24	Sep 11	Sep 12	Sep 26 '23
1.1340	Mar 09	May 23	May 24	Jun 09 '23
0.4028	Aug 25	Sep 09	Sep 13	Sep 29 '22
1.0800	Mar 11	May 24	May 25	Jun 10 '22
0.3800	Aug 17	Sep 02	Sep 03	Sep 21 '21
1.0030	Mar 11	May 25	May 26	Jun 10 '21

Dividends have been paid since 2011 . Source: Company reports
Past performance is not an indication of future performance and should not be relied as such.
Forecasts are not a reliable indicator of future performance.
Dividends paid in currencies other than the Trading currency have been accordingly converted for display purposes.

AIA Group Limited

Business Summary Aug 28, 2023

COMPANY OVERVIEW: First established in Shanghai in 1919, AIA Group [AIA] has become the largest independent, publicly listed, pan-Asian life insurance group, with a presence in 18 markets across the Asia-Pacific region. AIA was previously part of New York-based American International Group. AIA went for a separate listing on the Stock Exchange of Hong Kong in October 2010, after a reorganization that was driven by AIG’s liquidity crisis in 2008. AIA is the only international insurer headquartered and listed in Hong Kong, and 100% focused on the Asia-Pacific.

In June 2011, AIA launched a sponsored Level 1 American Depositary Receipt [ADR] program. AIA’s ADRs trade on the U.S. over-the-counter market under the symbol AAGIY. Each ADR represents four ordinary shares of AIA.

MARKET PROFILE: AIA is the largest life insurer in the world by market capitalization and is a market leader in the Asian region [ex-Japan] based on life insurance premiums, with 100% ownership in 16 out of the 18 markets [Hong Kong SAR, Thailand, Singapore, Malaysia, Mainland China, South Korea, the Philippines, Australia, Indonesia, Taiwan, Vietnam, New Zealand, Macau SAR, Brunei, Cambodia, and Myanmar] plus a 99%-owned subsidiary in Sri Lanka, and a 49% joint venture in India.

Since 2013, AIA has had an exclusive bancassurance agreement with Citibank that encompasses 11 AIA markets in the Asia-Pacific region, namely Hong Kong, Singapore, Thailand, China, Indonesia, Philippines, Vietnam, Malaysia, Australia, India, and Korea.

In 2019, AIA and Commonwealth Bank of Australia [CBA] executed a Joint Cooperation Agreement enabling AIA to exercise a level of direct management control and oversight over CBA’s life insurance business in Australia. AIA Australia’s strategic bancassurance partnerships with CBA in Australia and ASB Bank in New Zealand were also extended to 25 years [from 20 years] to 2042.

CORPORATE STRATEGY: China remains the heart of AIA’s growth strategy. AIA was founded in Shanghai and is the first foreign life insurer approved for incorporation in China. The Chinese government’s announcement of further measures to remove foreign ownership restrictions and continue the liberalization of the life insurance sector presents a historic opportunity for AIA. Its Shanghai branch was converted into a subsidiary in 2020 and a new branch in Sichuan [the first in Western China] was launched in Q1 2021. AIA China currently operates in four provinces [Guangdong, Jiangsu, Hebei, and Sichuan] and five cities [Beijing, Shanghai, Shenzhen, Tianjin, and Shijiazhuang], which are among China’s more affluent areas.

The Asia-Pacific region remains significantly underinsured in terms of life protection, health insurance, as well as in pensions and retirement savings. The low levels of private insurance, rapid urbanization, increasing wealth, and middle-class growth [more than 1 billion people will enter the middle class across China, India, and emerging ASEAN countries by 2025] provide substantial growth opportunities to be tapped on.

AIA will focus on delivering profitable new business growth, leveraging its competitive advantages to invest capital where it sees attractive opportunities, while maintaining its financial discipline. Its primary objective is to achieve profitable new business growth at an increasing scale and generate superior, sustainable value for its shareholders. It aims to demonstrate that its strong growth in value of new business [VONB] will translate over time into earnings growth, increased cash generation, and shareholder dividends.

AIA’s proprietary tied agency remains its primary distribution channel and a core growth engine, generating about 75% of the group’s VONB. Its differentiated Premier Agency strategy is a key competitive advantage for AIA, and its success is underpinned by an end-to-end agent-customer value chain. Additionally, its expanding strategic partnerships complement its agency and extend AIA’s distribution reach.

AIA also continues to invest and leverage technology. In 2022, about 63% of claims were settled on the same day as submission and 93% of claims paid digitally across the group. 76% of AIA’s active agents its proprietary social media integrated leads management platform and delivered more than USD280 million of annualized new premium [ANP] from digitally generated customer sales.

BUSINESS SEGMENT: AIA’s principal regulated operating entity is its Hong Kong insurer, AIA Company [AIA Co]. AIA’s businesses are reported through seven market segments, namely Hong Kong, Thailand, Singapore, Malaysia, China, Korea, and Other Markets.

Hong Kong is AIA’s core market, although its contributions to group ANP and VONB have declined to 20% and 24% in 2022 from 44.8% and 39.8% in 2016, respectively, due to faster business growth in China and other markets. China contributed 24% to group ANP and 27% to VONB in 2022, up from 12.1% and 18.4% in 2016. The balance came from Thailand, Singapore, and Malaysia combined [30%/36% in 2022 from 24.2%/30.8% in 2016] and Other Markets [26%/13% from 18.9%/11%].

FINANCIAL TRENDS: Over the 2015-2019 periods, AIA operating profit after tax [OPTA] grew at a CAGR of 13%, driven by 14% CAGR in total weighted premium income [TWPI] to USD340.0 billion, 13% CAGR in ANP [USD6.58 billion], and 17% CAGR in VONB [USD4.15 billion]. 2020 was hit by the pandemic and saw ANP declining 21% and VONB falling 33% and slower 4% growth in both OPTA and TWPI. AIA’s OPTA recovered in 2021 [+8.2%], with TWPI improving 3.7% to USD31.70 billion, ANP rising 8.2% to USD5.65 billion, and VONB growing 18% to USD3.37 billion. OPTA eased 0.6% in 2022, with weakness in TWPI [-1.9% to USD36.18 billion], ANP [-4.3% to USD5.41 billion], and VONB [-8.1% to USD3.09 billion].

Corporate information

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N/A

Website
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Officers	
Group Chief Investment Officer M. Konyon	Group Chief Executive, President & Executive Director Y. Lee
Group Chief Technology Officer & Life Operations Officer B. Misra	Group General Counsel M. D. New
Group Chief Financial Officer G. Jones	Independent Non-Executive Chairman S. Tse

Board Members	
C. Chow	M. E. Pangestu
C. Ong	N. Akrasanee
C. Purisima	N. S. Binti Mohd Yunus
C. So	S. Tse
J. Harrison	Y. Lee
J. Lau	Y. Yeo
J. Sun	

Domicile Hong Kong	Auditor PricewaterhouseCoopers LLP
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Founded
1919

Employees
23,000

Stockholders
N/A

AIA Group Limited

Quantitative Evaluations						Expanded Ratio Analysis					
Fair Value Rank	NR	1	2	3	4	5	2022	2021	2020	2019	
LOWEST						HIGHEST	P/E Ratio	NM	16.40	25.61	21.10
Based on CFRA's proprietary quantitative model, stocks are ranked from most overvalued [1] to most undervalued [5].							Price/Tangible Book Value	3.74	2.11	2.44	2.40
							% LT Debt to Capitalization	20.79	13.25	10.53	9.29
							Avg. Diluted Shares Outstg. [M]	11,938	12,087	12,080	12,071
						Figures based on fiscal year-end price					
Fair Value Calculation	N/A										
Volatility	NA	LOW	AVERAGE	HIGH							
Technical Evaluation	NEUTRAL	Since October, 2023, the technical indicators for 1299 HK have been NEUTRAL"									
Insider Activity	UNFAVORABLE		NEUTRAL	FAVORABLE							
Key Growth Rates and Averages											
Past Growth Rate [%]								1 Year	3 Years	5 Years	
Net Income								NM	NM	NM	
Ratio Analysis (Annual Avg.)											
% LT Debt to Capitalization								20.79	14.85	12.72	
Return on Equity [%]								0.64	7.45	7.01	
Operating Margin [%]								1.62	9.71	10.14	

Company Financials Fiscal year ending Dec 31										
Per Share Data [USD]	2022	2021	2020	2019	2018	2017	2016	2015	2014	2013
Tangible Book Value	2.98	4.77	5.02	4.35	3.08	3.34	2.78	2.45	2.39	1.95
Operating Earnings	0.16	0.66	0.69	0.70	0.31	0.67	0.39	0.23	0.35	0.28
Earnings	0.02	0.61	0.48	0.50	0.26	0.51	0.35	0.23	0.29	0.24
Dividends	0.20	0.19	0.17	0.16	0.15	0.13	0.11	0.09	0.06	0.05
Payout Ratio [%]	801.00	28.91	34.56	30.36	50.24	22.48	26.99	29.44	19.97	21.07
Prices: High	11.88	14.10	12.61	11.34	9.55	8.85	6.98	7.51	5.89	5.22
Prices: Low	7.29	9.92	7.73	7.79	7.42	5.50	4.73	5.01	4.47	3.78
P/E Ratio: High	NM	22.80	26.40	22.90	19.00	17.40	20.10	32.60	20.50	22.20
P/E Ratio: Low	NM	16.20	16.20	15.70	14.70	10.70	13.70	21.80	15.60	16.10
Income Statement Analysis (Million USD)										
Net Life Insurance In Force	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Premium Income	33,912	34,444	33,328	32,611	29,458	25,489	20,444	18,616	17,052	15,707
Other Revenue	-13,476	3,225	8,406	7,433	-3,792	6,314	1,230	-1,348	2,753	845.00
Total Revenue	19,721	46,357	50,851	47,945	33,025	38,761	27,797	22,486	25,169	21,631
Pretax Income	491.00	8,468	7,270	7,227	3,849	7,315	4,872	3,447	4,345	3,541
Net Operating Income	1,888	8,006	8,356	8,467	4,101	8,071	4,709	2,811	4,225	3,391
Net Income	282.00	7,427	5,779	5,979	3,163	6,120	4,164	2,765	3,450	2,824
Balance Sheet and Other Financial Data (Million USD)										
Cash & Equivalent	8,020	3,913	4,400	3,189	1,779	1,833	1,138	1,542	1,339	1,800
Investment Assets: Bonds	165,075	200,080	201,881	171,984	140,221	131,168	113,601	104,640	102,041	87,279
Investment Assets: Loans	N/A	569.00	639.00	655.00	659.00	653.00	597.00	589.00	659.00	665.00
Investment Assets: Total	242,315	284,256	273,995	236,091	189,059	178,773	153,522	140,745	137,790	119,894
Deferred Policy Costs	29,743	28,385	27,549	25,915	24,162	21,345	18,351	16,424	15,793	14,836
Total Assets	303,048	339,874	326,121	284,132	229,806	215,691	185,074	169,758	166,919	147,402
Insurance Annuity Liability	219,570	208,488	196,348	169,590	153,154	139,177	119,519	107,995	106,052	103,436
Unearned Premiums	N/A	30,935	26,723	22,591	11,610	9,720	8,667	7,974	7,045	N/A
Debt	12,954	11,874	11,033	8,300	6,679	5,896	5,479	6,527	6,688	4,015
Common Equity	38,096	60,467	63,200	54,947	39,006	41,994	34,984	31,119	30,806	24,682
Property & Casualty: Combined	NM	NM	NM	NM	NM	NM	NM	NM	NM	NM
% Return on Revenue	1.43	16.02	11.36	12.47	8.84	15.79	14.98	12.30	13.71	13.06
% Return on Equity	0.60	12.00	9.70	12.70	NM	15.90	12.60	9.00	12.40	11.00
Premium/Annuity Revenue	33,912	34,444	33,328	32,611	29,458	25,489	20,444	18,616	17,052	15,707

Source: S&P Global Market Intelligence. Data may be preliminary or restated; before results of discontinued operations/special items. Per share data adjusted for stock dividends; EPS diluted. E-Estimated. NA-Not Available. NM-Not Meaningful. NR-Not Ranked. UR-Under Review.

AIA Group Limited

Industry Outlook

We are Overweight on Asia-Pacific (APAC) financials. While recovery is still slow, the APAC economy, which houses about one-third of the world’s population, is expected to expand faster than the rest of the world, led by China.

Most central banks in APAC, including Hong Kong and Singapore, follow the U.S. Federal Reserve’s hawkish stance to fight inflation, but we expect China and Japan will continue with their respective accommodative policy stances to support the still fragile economic recovery.

In China, we think loan growth will stay solid in 2023, at above 10% on sustained momentum in corporate lending and a recovery in retail business (including credit cards) underpinned by the government’s support to boost consumption spending and revive the real estate market, plus the reopening. We also see easing pressure on net interest margin as demand for credit improves. Outside China, interest rate hikes will provide an upside bias to net interest margin amid rising funding costs amid competition for deposits.

While the still uncertain global macro environment could raise the possibility of asset quality weakening in 2023, we think any increase will be well contained partly because APAC banks have strengthened their risk management, loan loss coverage, and capital position since the pandemic. We also think proactive measures to address nonperforming assets, a shift towards better quality sectors, and tighter banking regulations will provide support to asset quality outlook. With strong core capital positions, high loan-loss reserves, and funding largely by deposits, we think APAC banks are well positioned to weather macro challenges.

We are positive on the demand outlook for the APAC insurance sector. Penetration rates, both life and non-life, particularly in populous emerging markets in China, India, and ASEAN countries, are still low. Government support to increase penetration, a rising middle-income population, and a youthful demographic will underpin demand growth for life insurance over the long term. We expect the higher-margin life insurance premium,

hit by reduced face-to-face meeting due to social distancing, to pick up as the economy reopens. In the non-life insurance market, motor vehicle insurance dominates in emerging markets, but we also see health care premiums garnering a bigger market share as several APAC countries prepare for health care reform and awareness of insurance protection increases following the pandemic. Insurers also turn to innovative products and distribution models, such as online businesses, to drive premium growth. Efforts to improve productivity, which could contain an increase in claims, surrenders, and other costs, will also be positive for profitability.

We are more cautious on APAC brokerage sector outlook as concerns over inflation, interest rates, and the geopolitical environment would dampen investors’ sentiments and trading activities.

/ Siti Salikin

Sub-Industry: Life and Health Insurance Peer Group*: Life and Health Insurance												
Peer Group	Stock Symbol	Exchange	Currency	Recent Stock Price	Stk. Mkt. Cap. (M)	30-Day Price Chg. (%)	1-Year Price Chg. (%)	P/E Ratio	Fair Value Calc.	Yield (%)	Return on Equity (%)	LTD to Cap (%)
AIA Group Limited	1299 HK	SEHK	USD	68.70	783,509.0	7.3	13.4	104.0	N/A	2.3	2.5	20.3
China Life Insurance	2628 HK	SEHK	CNY	10.66	825,173.0	-12.3	18.0	N/A	N/A	5.0	4.1	7.3
China Taiping Insurance Holdings	966	N/A	N/A	7.29	26,196.0	-7.4	25.5	8.0	N/A	3.6	5.3	20.4
Great Eastern Life	607	N/A	N/A	17.44	8,255.0	-3.4	-2.4	8.0	N/A	5.2	11.9	0.9
PICC Property & Casualty	2328 HK	SEHK	CNY	9.37	208,466.0	-4.3	22.6	7.0	N/A	5.6	12.6	3.0
Ping An Insurance (Group)	2318 HK	SEHK	CNY	40.60	817,087.0	-9.7	20.5	8.0	N/A	6.7	9.2	43.3
Prudential plc	2378 HK	SEHK	USD	79.35	219,359.0	-6.4	6.9	8.0	N/A	1.9	20.6	17.5
Tokio Marine Holdings, Inc.	8766 JP	TSE	JPY	3,351.00	6,663,893.0	-8.1	27.2	18.0	N/A	3.3	9.0	5.3

*For Peer Groups with more than 10 companies or stocks, selection of issues is based on market capitalization.
NA-Not Available; NM-Not Meaningful.
Note: Peers are selected based on Global Industry Classification Standards and market capitalization. The peer group list includes companies with similar characteristics, but may not include all the companies within the same industry and/or that engage in the same line of business.

AIA Group Limited

Analyst Research Notes and other Company News

August 25, 2023

07:51 AM ET... CFRA Keeps Buy Opinion on Shares of AIA Group [1299 HK 67.65****]: H1 2023 EPS of USD0.1939 [+51.1% Y/Y] was a miss due to lower-than-projected turnaround in investment return following market weakness, but the underlying insurance business showed steady recovery. The value of new business [VONB] rose 37% to USD2.03 bln [Hong Kong: +2.1x; China: +14%, other markets: +11.8%] and annualized new premiums grew 49% to USD4.4 bln. We think the new business momentum will sustain in H2 2023 and 2024 on strong demand from Chinese visitors in Hong Kong and our projected economic recovery in China in 2024. While the shift towards long-term savings products will reduce the overall VONB margin [H1 2023: -4.5 ppt to 50.8%], we think improving agent's productivity will cushion the impact. We trim 2023/2024 EPS forecast to USD0.437/USD0.542 [USD0.543/USD0.621], and target price to HKD88 [from HKD100], 25.7x 2023 EPS estimate [5-year mean: 18.7x], reflecting a recovery in AIA's underlying insurance business, which will drive stronger projected ROE of 10%-11% [5-year: 9.3%]. / Siti Salikin

May 10, 2023

03:24 AM ET... CFRA Affirms Buy Opinion on Shares of AIA Group [1299 HK 80.90****]: We keep our 2023/2024 EPS forecast of USD0.543/USD0.621, and target price of HKD100, 23.6x 2023 EPS estimate [3-year mean: 18.8x], on a recovery in AIA's underlying insurance business, which will drive stronger projected ROE of 11%-12% [3-year: 7.5%]. The value of new business [VONB] grew 22.6% Y/Y in Q1 2023 to USD1.05 bln, with all reportable segments [AIA China, AIA Hong Kong, ASEAN, and India] recording double-digit growth. Annualized new premiums rose 28% Y/Y to USD2.0 bln. We think business momentum will sustain in 2023 on easing disruptive effects of the pandemic and as AIA improves its agent recruitment, strengthens its partnership channels, and invests in IT to improve efficiency. While the shift in its product mix towards long-term savings products in China and Hong Kong will reduce the overall VONB margin [Q1 2023: -2.1 ppt Y/Y to 52.3%], we think AIA's focus on agent productivity will cushion the impact. We also see fair value gains on investments in 2023 [vs. loss in 2022]. / Siti Salikin

March 13, 2023

12:25 AM ET... CFRA Lowers Opinion on Shares of AIA Group to Buy from Strong Buy [1299 HK 81.55****]: 2022 EPS of USD0.271 [-56% due largely to fair value loss of investments] missed our estimate. However, the underlying insurance business showed a good recovery in H2 2022, with value of new business [VONB] for AIA China returning to growth [+3% Y/Y] and AIA Hong Kong maintaining its steady growth [+5%]. We see new business momentum in China and Hong Kong picking up in 2023 as AIA improves its agent recruitment and strengthens its partnership channels. We also expect the businesses in ASEAN market and India, which achieved double-digit growth in H2 2022, to sustain sales momentum in 2023. Similarly, the overall VONB margin improved to 58.8% in H2 2022 [H1 2022: 55.2%]. We think AIA's focus on agent productivity will support VONB margin closer to 2021's level of 59.3% in 2023. We trim 2023 EPS forecast to USD0.543 [from USD0.70] and start 2024's at USD0.621. Our target price of HKD100 [from HKD110] is 23.5x 2023 EPS estimate on ROE of 11%-12% [3-year P/E: 19.1x on a single-digit average ROE]. / Siti Salikin

November 06, 2022

11:19 PM ET... CFRA Keeps Strong Buy Opinion on Shares of AIA Group [1299 HK 65.50****]: We keep 2022/2023 EPS forecast of 40 USD cents/70 USD cents, and target price of HKD110, 20.7x our 2023 EPS estimate on recovery of new business, which will support ROE at 11%-12% [3-year P/E: 19.4x on ROE of 11.5%]. Q3 2022 saw an improvement in value of new business [VONB] from all business segments, leading to 7% Y/Y growth in AIA's VONB to USD741 mln. While VONB margin eased 0.3 ppt Y/Y to 58.1%, it improved from H1 2022's 55.2%. We still project lower VONB for 2022 due to weak performance from China in H1 2022, but China VONB has since recovered [+6% Y/Y in Q3], supported by a rebound in activity in Shanghai and improved agent recruitment. AIA Hong Kong stayed resilient with increased sales to Chinese visitors through its Macau branch. The strength of its proprietary Premier Agency and partnership channels, and steady growth from bancassurance partners will sustain VONB momentum and drive VONB growth in 2023, in our view. Its focus on agent's productivity will support further VONB margin improvement. / Siti Salikin

August 29, 2022

12:59 AM ET... CFRA Keeps Strong Buy Opinion on Shares of AIA Group [1299 HK 78.20****]:

Our target price of HKD110 [unchanged] is 20.7x our 2023 EPS estimate on a recovery of new business, which will support our projected ROE at 11%-12% [3-year P/E: 19.4x on ROE of 11.5%]. AIA incurred a loss per share of 5 US cents in H1 2022, which was unexpected due to disruption from the Omicron outbreak and larger-than-estimated fair value loss of investments. Operating profit per share after tax grew 4% Y/Y to 26.76 US cents. AIA's value of new business [VONB] fell 13% Y/Y and VONB margin weakened 3.3% pt led by China [-24% and -14.7%pt, respectively]. AIA Hong Kong remained resilient [VONB: +3%; margin: +11.8%pt]. Businesses have also gradually regained momentum. AIA's overall VONB returned to growth in June, while that in China rebounded in July. We see further recovery in new businesses in China in H2 2022 on the easing of movement restrictions and as AIA China strengthens its agent recruitment. We lower 2022 EPS forecast to 40 USD cents [from 66 USD cents] and keep 2023's 70 USD cents. / Siti Salikin

May 10, 2022

05:06 AM ET... CFRA Keeps Strong Buy Opinion on Shares of AIA Group [1299 HK 73.30****]: We keep our 2022-2023 EPS forecasts of 66 U.S. cents and 70 U.S. cents, and target price of HKD110, which is 21.4x our 2022 EPS estimate [3-year P/E: 19.5x], on a recovery of new business, which will support ROE at 11%-12% and AIA's progressive dividend policy. The lockdowns in China, together with an exceptionally strong Q1 2021, led to 18% Y/Y decline in AIA's overall value of new business [VONB] to USD853 mln and 7.6%pt fall in VONB margin to 54.4%. However, we expect new business sales in China to regain momentum in H2 2022, assuming the lockdowns ease and as AIA China strengthens its agent recruitment. Businesses outside China were fairly resilient during the quarter, with AIA Hong Kong reporting higher VONB and a substantial increase in VONB from sales to Chinese visitors through its Macau branch. India and ASEAN countries, where coverage is still low, also offer growth opportunities. Increased sales mix from higher-margin China and ASEAN will support better overall VONB margin, in our view. / Siti Salikin

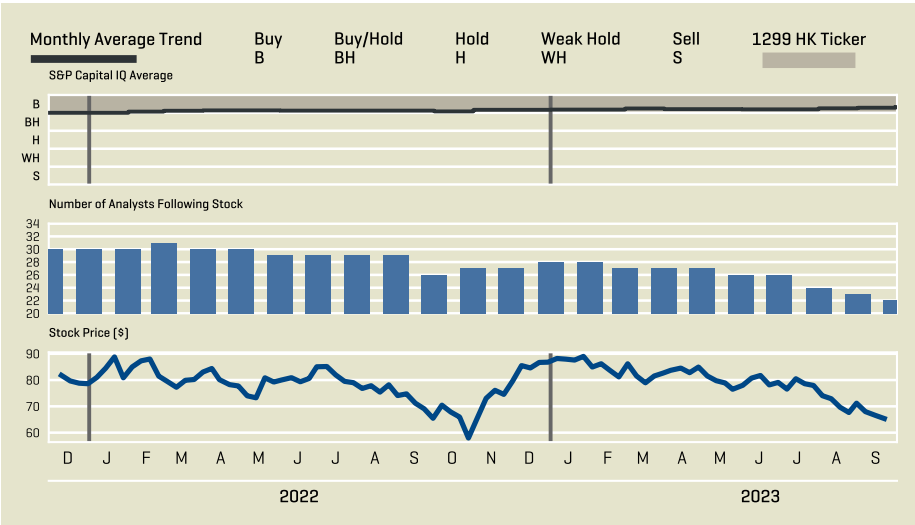
March 15, 2022

12:11 AM ET... CFRA Keeps Strong Buy Opinion on Shares of AIA Group [1299 HK 75.00****]: Our target price of HKD110 [unchanged] is 21.4x our 2022 EPS estimate [3-year P/E: 19x], on a strong recovery of new business, which will support a decent ROE of >10% and AIA's progressive dividend policy. AIA's 2021 EPS [+27% to 61.55 US cents], was 3% above our estimate. Value of new business [VONB] grew 18% to USD3.37 bln and VONB margin improved 6.3 ppt to 59.3%. VONB outside Hong Kong already exceeded pre-pandemic levels, but Hong Kong led VONB recovery [+37%], followed by Malaysia [+26%]. China [the largest VONB contributor] delivered 10% growth but we think VONB momentum in China will pick up in 2022 aided by AIA's investment in China Post Life, bancassurance partnership with The Bank of East Asia, and full license operations in Wuhan. India, where coverage is very low, also offers new growth opportunities. Increased contribution from higher-margin China and ASEAN countries will also support better overall VONB margin. We keep our 2022 EPS forecast of 66 US cents and introduce 2023's 70 US cents. / Siti Salikin

Note: Research notes reflect CFRA's published opinions and analysis on the stock at the time the note was published. The note reflects the views of the equity analyst as of the date and time indicated in the note, and may not reflect CFRA's current view on the company.

AIA Group Limited

Analysts Recommendations



	No. of Recommendations	% of Total	1 Mo.Prior	3 Mos.Prior
Buy	18	82	18	20
Buy/Hold	4	18	5	4
Hold	0	0	0	2
Weak hold	0	0	0	0
Sell	0	0	0	0
No Opinion	0	0	0	0
Total	22	100	23	26

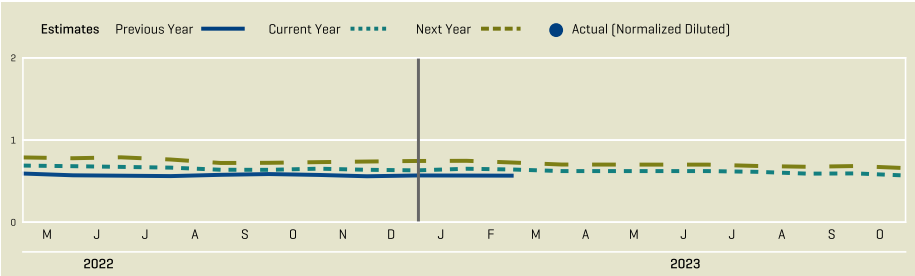
Wall Street Consensus Opinion

Buy

Wall Street Consensus vs. Performance

For fiscal year 2023, analysts estimate that 1299 HK will earn USD 0.57. For fiscal year 2024, analysts estimate that 1299 HK's earnings per share will grow by 15.84% to USD 0.66.

Wall Street Consensus Estimates



Fiscal Year	Avg Est.	High Est.	Low Est.	# of Est.	Est. P/E
2024	0.66	0.71	0.59	7	102.87
2023	0.57	0.66	0.49	7	119.16
2024 vs. 2023	▲ 16%	▲ 7%	▲ 21%	N/A%	▼ -14%

Forecasts are not reliable indicator of future performance.
Note: A company's earnings outlook plays a major part in any investment decision. S&P Global Market Intelligence organizes the earnings estimates of over 2,300 Wall Street analysts, and provides their consensus of earnings over the next two years, as well as how those earnings estimates have changed over time. Note that the information provided in relation to consensus estimates is not intended to predict actual results and should not be taken as a reliable indicator of future performance.
Note: For all tables, graphs and charts in this report that do not cite any reference or source, the source is S&P Global Market Intelligence.

AIA Group Limited

Glossary

STARS

Since January 1, 1987, CFRA Equity and Fund Research Services, and its predecessor S&P Capital IQ Equity Research has ranked a universe of U.S. common stocks, ADRs [American Depositary Receipts], and ADSs [American Depositary Shares] based on a given equity's potential for future performance. Similarly, we have ranked Asian and European equities since June 30, 2002. Under proprietary STARS [Stock Appreciation Ranking System], equity analysts rank equities according to their individual forecast of an equity's future total return potential versus the expected total return of a relevant benchmark [e.g., a regional index (MSCI AC Asia Pacific Index, MSCI AC Europe Index or S&P 500® Index)], based on a 12-month time horizon. STARS was designed to help investors looking to put their investment decisions in perspective. Data used to assist in determining the STARS ranking may be the result of the analyst's own models as well as internal proprietary models resulting from dynamic data inputs.

S&P Global Market Intelligence's Quality Ranking

[also known as **S&P Capital IQ Earnings & Dividend Rankings**] - Growth and S&P Capital IQ Earnings & Dividend Rankings stability of earnings and dividends are deemed key elements in establishing S&P Global Market Intelligence's earnings and dividend rankings for common stocks, which are designed to capsule the nature of this record in a single symbol. It should be noted, however, that the process also takes into consideration certain adjustments and modifications deemed desirable in establishing such rankings. The final score for each stock is measured against a scoring matrix determined by analysis of the scores of a large and representative sample of stocks. The range of scores in the array of this sample has been aligned with the following ladder of rankings:

A+ Highest	B Below Average
A High	B- Lower
A Above	C Lowest
B+ Average	D In Reorganization
NC Not Ranked	

EPS Estimates

CFRA's earnings per share (EPS) estimates reflect analyst projections of future EPS from continuing operations, and generally exclude various items that are viewed as special, non-recurring, or extraordinary. Also, EPS estimates reflect either forecasts of equity analysts; or, the consensus [average] EPS estimate, which are independently compiled by S&P Global Market Intelligence, a data provider to CFRA. Among the items typically excluded from EPS estimates are asset sale gains; impairment, restructuring or merger-related charges; legal and insurance settlements; in process research and development expenses; gains or losses on the extinguishment of debt; the cumulative effect of accounting changes; and earnings related to operations that have been classified by the company as discontinued. The inclusion of some items, such as stock option expense and recurring types of other charges, may vary, and depend on such factors as industry practice, analyst judgment, and the extent to which some types of data is disclosed by companies.

12-Month Target Price

The equity analyst's projection of the market price a given security will command 12 months hence, based on a combination of intrinsic, relative, and private market valuation metrics, including Fair Value.

Abbreviations Used in Equity Research Reports

- CAGR - Compound Annual Growth Rate
- CAPEX - Capital Expenditures
- CY - Calendar Year
- DCF - Discounted Cash Flow
- DDM - Dividend Discount Model
- EBIT - Earnings Before Interest and Taxes
- EBITDA - Earnings Before Interest, Taxes, Depreciation & Amortization
- EPS - Earnings Per Share
- EV - Enterprise Value
- FCF - Free Cash Flow
- FFO - Funds From Operations
- FY - Fiscal Year
- P/E - Price/Earnings
- P/NAV - Price to Net Asset Value
- PEG Ratio - P/E-to-Growth Ratio
- PV - Present Value
- R&D - Research & Development
- ROCE - Return on Capital Employed
- ROE Return on Equity
- ROI - Return on Investment
- ROIC - Return on Invested Capital
- ROA - Return on Assets
- SG&A - Selling, General & Administrative Expenses
- SOTP - Sum-of-The-Parts
- WACC - Weighted Average Cost of Capital

Dividends on American Depositary Receipts (ADRs) and American Depositary Shares (ADSs) are net of taxes (paid in the country of origin).

Qualitative Risk Assessment

Reflects an equity analyst's view of a given company's operational risk, or the risk of a firm's ability to continue as an ongoing concern. The Qualitative Risk Assessment is a relative ranking to the U.S. STARS universe, and should be reflective of risk factors related to a company's operations, as opposed to risk and volatility measures associated with share prices. For an ETF this reflects on a capitalization-weighted basis, the average qualitative risk assessment assigned to holdings of the fund.

STARS Ranking system and definition:

★★★★★ 5-STARS (Strong Buy):

Total return is expected to outperform the total return of a relevant benchmark, by a notable margin over the coming 12 months, with shares rising in price on an absolute basis.

★★★★★ 4-STARS (Buy):

Total return is expected to outperform the total return of a relevant benchmark over the coming 12 months.

★★★★★ 3-STARS (Hold):

Total return is expected to closely approximate the total return of a relevant benchmark over the coming 12 months.

★★★★★ 2-STARS (Sell):

Total return is expected to underperform the total return of a relevant benchmark over the coming 12 months.

★★★★★ 1-STAR (Strong Sell):

Total return is expected to underperform the total return of a relevant benchmark by a notable margin over the coming 12 months, with shares falling in price on an absolute basis.

Relevant benchmarks:

In North America, the relevant benchmark is the S&P 500 Index, in Europe and in Asia, the relevant benchmarks are the MSCI AC Europe Index and the MSCI AC Asia Pacific Index, respectively.



AIA Group Limited

Disclosures

Stocks are ranked in accordance with the following ranking methodologies:

STARS Stock Reports:

Qualitative STARS rankings are determined and assigned by equity analysts. For reports containing STARS rankings refer to the Glossary section of the report for detailed methodology and the definition of STARS rankings.

Quantitative Stock Reports:

Quantitative rankings are determined by ranking a universe of common stocks based on 5 measures or model categories: Valuation, Quality, Growth, Street Sentiment, and Price Momentum. In the U.S., a sixth sub-category for Financial Health will also be displayed. Percentile scores are used to compare each company to all other companies in the same universe for each model category. The five [six] model category scores are then weighted and rolled up into a single percentile ranking for that company. For reports containing quantitative rankings refer to the Glossary section of the report for detailed methodology and the definition of Quantitative rankings.

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STARS Stock Reports:

Global STARS Distribution as of September 30, 2023

Ranking	North America	Europe	Asia	Global
Buy	36.8%	34.5%	41.6%	37.4%
Hold	53.8%	51.2%	50.3%	52.6%
Sell	9.4%	14.3%	8.1%	10.1%
Total	100.0%	100.0%	100.0%	100.0%

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